

01 Structuring Summary

01 Structuring Summary (INTERNAL, revised for your decisions)

Projection only. EGP million. Detail: 01_Structuring_Analysis.xlsx; every pack Financial Annex recomputes these numbers with live formulas and reconciles to the source model (GS net 375.4 / NPV 229.9; LA net 595.3 / NPV 350.6, each at its own month 0).

Applied from your decisions

Retained units untouched; units at **launch list** (GS retail 225 / offices 135; LA 250 / 160 EGP thousand per m2) with face value 2.0x; cash 2.3x; nothing ring-fenced; Jalour bears the landlord 35%; Jalour covers project funding gaps; no return guarantee; discount rate 14%; other projects in the source workbook ignored.

Option A: units (2.0x at launch list, from the first two sales tranches)

Per ticket 100	Green Square	L'avenir
Units face value / value at final list	200 / 287	200 / 296
Share of launch tranches (tranche value 606 / 725)	33.0%	27.6%
Investor IRR / MOIC: base	26.4% / 2.78x	29.2% / 2.87x
Downside (resale +12m, price -10%) / upside (+10%)	18.6% / 29.2%	20.4% / 32.3%
Appreciation +40% / +60% / none	25.7% / 29.6% / 16.4%	27.5% / 31.7% / 17.5%
Jalour cost of capital / NPV cost at 14%	20.7% / -20.4	22.6% / -23.7
Peak shortage before ticket (base 102.5 / 102.0)	117.9	137.4

Costs scale linearly with the ticket (NPV cost at 50 / 75 / 125: GS -10.2 / -15.3 / -25.5; LA -11.9 / -17.8 / -29.6). The units need 17% to 41% of the first two tranches; retail-only breaks above 116M (GS) so a pro-rata mix (about 32% retail / 68% offices) is used. Taking the same area pro rata from all tranches costs more (GS 30.7%, LA 31.6%). **Cost to Jalour is a real transfer:** the investor receives launch-priced area that appreciates 43% to 49% while Jalour forgoes the launch-tranche collections; the investor's units also compete with Jalour's later sales.

Option B: cash (2.3x, 24m grace, 12 quarterly instalments)

Investor IRR **26.5%** (both projects; same timing from funding), MOIC 2.30x; Jalour cost equals the investor IRR. Option A and B are close for Green Square (26.4% vs 26.5%); Option A is richer for L'avenir (29.2%). | Ticket 100 | GS | LA | |---|---|---| | S1 fixed: quarters with net-cash-flow coverage below 1.5x | 9 of 12 | 4 of 12 | | S1 lowest cash-available coverage | 3.0x | 3.5x | | S2 % of collections (floor 0.4x, cap 1.5x): share / IRR | 24.7% / 29.0% | 19.7% / 28.7% | | S3 hybrid (1.8x fixed + share, cap 2.8x): share / IRR | 3.5% / 27.8% | 2.9% / 27.4% | | Lowest pooled cash after payouts: base / downside / stress | -2 / -418 / -284 | -2 / -864 / -240 |

Recommend S1 (fixed 2.3x, equal instalments). It matches your structure and is the simplest to close. **No structure passes a 1.5x test on quarterly net cash flow in every quarter** (the construction peak is net negative: GS months 33 to 42, LA 36 to 42), and with no ring-fence nothing can cure that. I disclose it, show pooled-cash coverage (at least 3.0x GS, 3.5x LA in base) and rely on Jalour's funding undertaking. At 125M GS the pooled-cash coverage is only 1.41x in one quarter. Percent-of-collections share per ticket (S2): GS 12.4%, 18.5%, 24.7%, 30.9%; LA 9.9%, 14.8%, 19.7%, 24.6% at 50 / 75 / 100 / 125.

What the funding gap looks like (you will fund this)

Delivery payments at handover: GS 269, LA 244. Sales +12 months and prices -10%: GS 441, LA 849. Both exceed any ticket several times over. Ticket 125 exceeds the modelled peak by 22.5 / 23.0 (general project liquidity, not restricted).

No guarantee: recommendation (decision 5)

Do not guarantee the return. Offer instead: payment priority covenant (no shareholder distributions while an instalment is overdue), earmark of unsold launch-tranche or later units worth at least the ticket with substitution, negative pledge, monthly reporting and audit rights, and a sponsor funding undertaking limited to project funding gaps and completion. Optional: promissory notes, independent engineer, step-in right.

Items resolved or changed after your answers

1. Funding gaps: to be covered from Jalour's cash reserves and cash from other projects it is constructing. The packs say so, and say plainly that this capacity is not ring-fenced and depends on those projects (GS downside gap 441, LA 849). Form and any cap still to be documented.
2. Separate project account: treated as not applicable to these plots (Jalour's position); basis goes in the data room.
3. Prices compared with delivery prices: Option A and the price pages now use the delivery list (last list price in the plan, unchanged to handover). GS offices +48% and retail +33% from launch; LA +50% and +44%. Against today's office asking prices the delivery list is +77% (GS, about 15% a year) and +112% (LA, about 18% a year).
4. Market fact base: sent to you for review before verification.
5. Sponsor, permit, title and landlord-consent documents: marked as provided after the investor signs an NDA.

Note (125M). A 125M ticket means one investor placing 62.5M in each project (pack COMBINED_125M). The single-project 125 columns above are analysis only; no single-project 125M pack exists.